

Adaptive Reuse Investment Thesis

Religious Use to Residential

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Overview

New York City's housing crisis has created urgent demand for creative supply solutions, and the adaptive reuse of religious properties has quietly emerged as one of the most compelling responses to that need. Faith-based organizations across the five boroughs are sitting on vast amounts of underutilized land, and with congregation sizes in structural decline, the pressure to monetize legacy real estate has never been greater. A shifting regulatory environment, attractive tax incentives, and strong rental demand for architecturally distinctive products have aligned to make this an unusually favorable moment to enter the market. This research examines the market dynamics, value proposition, key risks, and real-world precedents that together form the investment thesis for religious-to-residential conversion in New York City.

Market

It is not a secret that NYC is facing a housing shortage. With a historical 1.4% vacancy rate and a housing shortfall of ~540,000 units, developers are being offered incentives like the 467-m tax incentive and historic tax credits on qualified rehab expenditures for listed historic properties.

Before diving deeper into government incentives, it's important to note the current trends shaping religious life across the country., fewer than 1 in 3 Americans regularly attend religious services, with those numbers expected to continue declining (Gallup).

Changes in Frequency of U.S. Religious Service Attendance Over Past Two Decades, by Religion				
Figures are the percentage who attend religious services weekly or nearly every week				
	2000-2003	2011-2013	2021-2023	Change, 2000-2003 to 2021-2023
	%	%	%	pct. pts.
U.S. adults	42	38	30	-12
Mormon/Latter-day Saints	68	75	67	-1
Protestant/Christian	48	49	44	-4
Islam/Muslim	34	46	38	4
Catholic	45	40	33	-12
Judaism/Jewish	15	19	22	7
Orthodox	35	25	26	-9
Buddhism/Buddhist	16	11	14	-2
Hinduism/Hindu	21	17	13	-8
None/Atheist/Agnostic	6	5	3	-3
Other	45	40	21	-24

GALLUP

Additionally, among US adults, only 21% attend religious services weekly. 31% answered that they never attend religious services.

Frequency of U.S. Religious Service Attendance, by Religion, 2021-2023 Averages

How often do you usually attend church, synagogue, mosque or temple --
every week, almost every week, about once a month, seldom or never?

	Every week %	Almost every week %	About once a month %	Seldom %	Never %
U.S. adults	21	9	11	25	31
Mormon/Latter-day Saints	54	13	7	14	12
Protestant/Christian	30	14	13	27	16
Islam/Muslim	28	10	17	26	18
Catholic	23	10	17	32	18
Judaism/Jewish	16	6	15	41	21
Orthodox	15	11	18	40	16
Buddhism/Buddhist	12	2	12	29	46
Hinduism/Hindu	7	6	36	26	25
None/Atheist/Agnostic	2	1	2	16	79
Other	16	5	8	21	50

GALLUP

Faith-Based Organizations (FBOs) own more than 92 million square feet of land across all five boroughs. With declining congregations, high maintenance, and increased housing demand, religious-to-residential conversions are quietly moving towards center stage, and now is the perfect opportunity to enter that market.

Value Proposition

There is immense value that can be gained from a religious-to-residential conversion from both a regulatory and financial perspective.

From the regulatory side, due to the current housing shortage in NYC, the government is offering incentives to developers that do conversions. The 467-m tax incentive, a direct analog of 421-a, offers up to 35-year tax exemptions for non-residential to residential conversions. This is offered for projects that commence before June 30th, 2031. Additionally, 20% HTC is offered by both NYS and the federal government on qualified rehabilitation expenditures for listed historic properties. Many NYC churches qualify. The City of Yes Housing Opportunity has also expanded adaptive reuse eligibility, making it easier to get approvals and permits.

On the financial side, Gothic/Romanesque architecture commands premium rents. The Spire Lofts, located at 163 North 6th Street in Brooklyn, had 3 available units all priced at \$6500/month (CityRealty). Although this is just one example, it points to a larger trend of demand for Gothic/Romanesque architecture. Additionally, lots with unused air rights can make certain religious-to-residential conversion opportunities more attractive, with the opportunity to develop additional space for more units. Lastly, partnering with Churches and FBOs that own

these properties by offering equity in exchange for a lower purchase price can reduce the need to raise capital.

Risk Assessments

Risks	Mitigants
Landmarks/LPC Approval Risks	Pre-select non-landmarked or Landmark Preservation Committee (LPC) pre-approved sites. Engage preservation architects early on. LPC has become increasingly flexible with developers to support housing in NYC.
Assembly Bill A10232 Protects valuable community services affected by the sale, mortgage and lease of real property of religious corporations	Introduced in 2023 and status is currently “in committee” (nowhere near getting passed). The city currently values housing over other services due to the immense shortage.
Community Opposition	Early community engagement and retaining congregation space if possible. Setting aside affordable units can build goodwill. Participation of Church/FBO on project can ease the feelings of community members.
Lease-Up/Demand Risk	Unique architectural character drives strong pre-leasing. Comparable conversions are often absorbed within 6-9 months.
NY Religious Corporation Law – Mandatory Court/AG Approval; establishes that a religious corporation cannot sell, mortgage, or lease any portion of its real estate for a term exceeding five years without securing approval from NYS, specifically, petitioning the NY Supreme Court or the AG's Charities Bureau, or both, depending on the denomination.	Engage specialized legal counsel pre-LOI. Commission appraisal before marketing or pricing. Conduct denomination due diligence as a pre-screen. Denominations have different internal governance requirements. The Roman Catholic Diocese, for example, requires Archdiocesan approval above the parish level, the local pastor cannot bind the sale.

Case Studies

The following are 3 successful examples of religious to residential conversions:

1. **10 Lenox Avenue, New York, NY** – A JV partnership between Avdoo and Second Canaan Baptist Church. The project consists of a new church facility and 29 luxury condos. This partnership allowed the church to profit from underutilized land. They were

able to design a building that allows a congregation of 500 to convene, while ensuring that the residents above can live quietly.

2. **30 East 31st Street** – A 92,000 square foot building with 42 luxury condos, by Ekstein Development Group. One bedroom units start at \$1.7 million.
3. **140-142 West 81st Street** – Led by DXA Studio, this conversion resulted in 7 apartments ranging in size from 1,200 to 3,500 square feet. An additional 10,000 square feet was designated as community space to house the congregation.

Conclusion

The case for religious-to-residential conversion in New York City rests on a convergence of structural forces that are unlikely to reverse. Housing demand is at a generational high, congregation sizes are in long-term decline, and the regulatory environment has never been more accommodating. The combination of the 467-m tax incentive, historic tax credits, and the City of Yes zoning reforms has meaningfully de-risked a strategy that was previously prohibitive for many developers. The risks, like landmarks approvals, Religious Corporations Law, and structural complexity are real, but they are navigable, and their very existence suppresses competition from less sophisticated buyers, supporting better acquisition pricing for those who can manage them. For developers willing to engage the legal, architectural, and community dimensions of these projects with care, religious-to-residential conversion represents a differentiated opportunity at the intersection of New York City's most urgent need and one of its most underleveraged asset classes.

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